

A defensible benchmark for a complex capital decision.

A pre-FEED gas development was told it was not first quartile, with no evidence of where or why. Benchmarking it system by system against 27 peers replaced a blanket cost-cutting mandate with a focused, defensible to-goal agenda.

INDUSTRY	ENGAGEMENT CONTEXT	ROLE	DURATION
Oil & gas — upstream, offshore	Consulting · global upstream operator	Independent competitiveness review (pre-FEED)	4 months

THE SITUATION

- An internal review had flagged system-level costs as not first quartile, but leadership had no like-for-like evidence of where the project actually sat.
- Directly comparable shallow-water gas peers were scarce, making a credible comparison set the first problem to solve rather than an input.
- Without isolating which cost systems drove the gap, the pre-FEED response would default to cutting cost everywhere, including where the project was already strong.

MY CONTRIBUTION

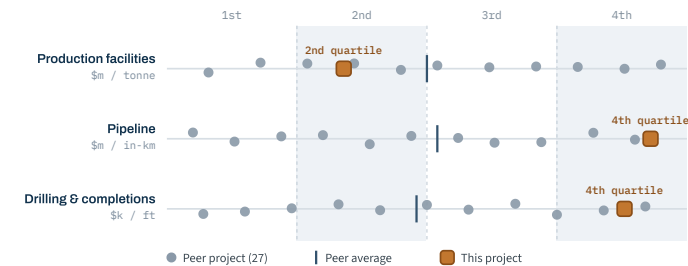
I led the benchmarking workstream feeding a joint gap-to-goal workshop: building the peer set, normalising costs top-down at system level and bottom-up at component level, quantifying the variance, and synthesising a fragmented cost picture into a board-ready verdict — independent of the project team, not a defence of it.

THE JUDGMENT THAT MATTERED

A first-quartile target is not automatically the right goal for every cost system. Separating structural gaps — tie-back distance, seabed conditions — from commercially addressable ones such as rig contracting is what made the benchmark actionable rather than merely damning.

EXHIBIT 1 Peer-group benchmark by cost system

Project position against 27 peers, by quartile · directional

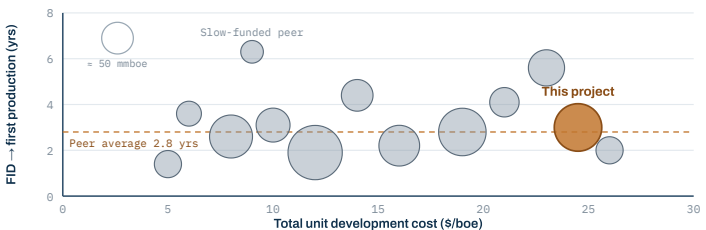


SO WHAT

The cost story is not uniform. Facilities are competitive at 2nd quartile; pipeline and drilling sit in the 4th — so a blanket cut-everything goal would spend effort on the part that is already strong.

EXHIBIT 2 Peer landscape — unit cost against schedule

Bubble size ≈ recoverable resource (mmboe) · directional



SO WHAT

The project carries higher unit cost than most peers without a faster schedule to offset it, which puts the weight of the investment case on closing the cost gap rather than on speed to first production.

WHAT THE WORK DELIVERED

- A 27-project peer benchmark built where few ideal comparators existed — the first credible like-for-like cost view available to the decision.
- The dominant lever isolated — rig rate, roughly 41% of drilling and completions cost — with schedule holding near the peer median.
- A clear category-level verdict: 2nd quartile on production facilities, 4th quartile on pipeline and on drilling & completions.
- The pre-FEED conversation reframed from cut costs everywhere to a focused, evidence-backed to-goal agenda.

HEADLINE

27 projects

in the comparative peer set